The contagion through the finance channel was, by far, the most perceptible as external developments fed on our domestic vulnerabilities through complex and pernicious feedback loops. All our financial markets —equity market, bond market, money market, credit market and forex market—were rattled by the global developments.

The benchmark equity index, the Sensex, collapsed by over a quarter from 13,518 on 16 September to 9647 by end December 2008. The call rate in the money market zoomed by over 5 percentage points from 13.1 per cent on 16 September to a high of 18.5 per cent on 10 October, reflecting market fear and uncertainty. A complex, cascading knock-on impact played out, squeezing the money and credit markets. Edged out of foreign markets, corporates started turning to domestic banks for their credit needs even as the banks themselves were in the midst of a huge funding uncertainty. Simultaneously, corporates also started withdrawing their investments from domestic money market mutual funds; money market mutual funds, in turn, started withdrawing their investments from NBFCs; and NBFCs, reeling under the funding pressure, turned to banks, exacerbating, in the process, the stress on banks which were already struggling to cope with the additional credit demand from the corporates.

The forex market pressure reflected two main developments. First, foreign institutional investors (FIIs), who had put billions of dollars into our equity and debt markets in the pre-crisis years, started withdrawing their investments as part of the global deleveraging process. Second, as external financing dried up, Indian corporates raised funds locally and began converting those into foreign currency to meet their external obligations. The exchange rate plunged as a result, falling from ₹46.63 to a dollar on 16 September, to a low of ₹50.52 on 2 December 2008, despite the Reserve Bank's almost regular intervention in the forex market.

Since forex intervention by the Reserve Bank when the rupee is under downward pressure involves selling dollars for rupees, an incidental by-product of our forex-market intervention was that we were squeezing rupees out of the system, and thereby exacerbating the pressure on domestic liquidity. On the balance of payments front, we were also worried about a